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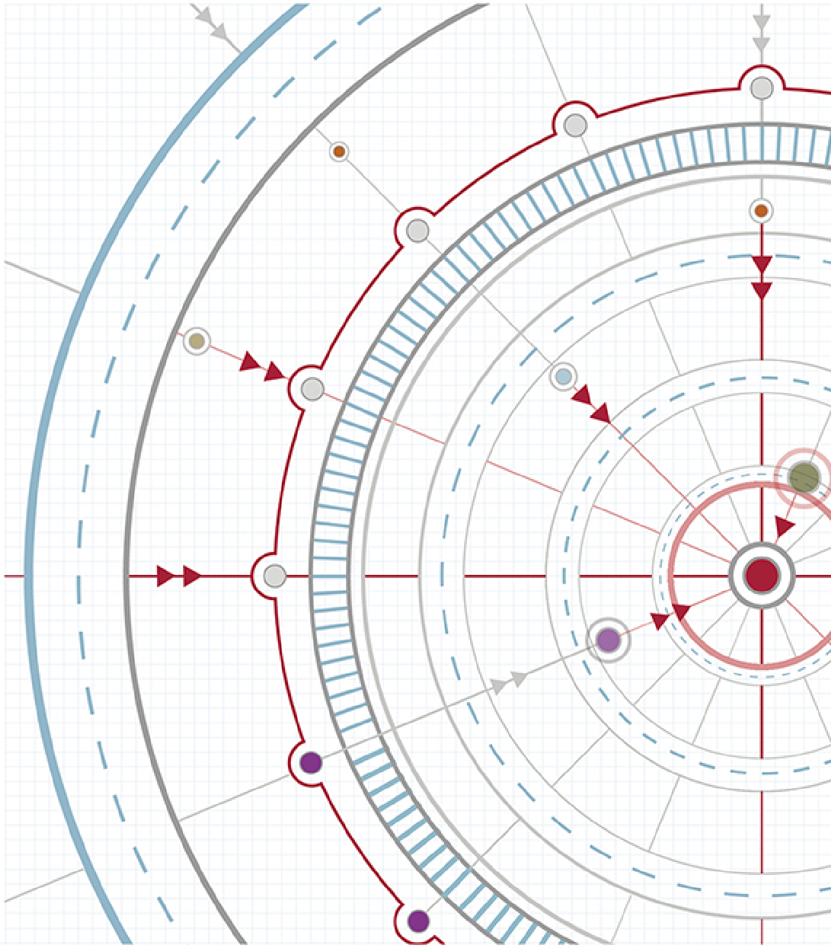

IASB® Update to IAASB

Mary Tokar, Board Member

December 2016

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Agenda

- Trustees' Review of Structure and Effectiveness
- Agenda Consultation – messages and workplan
- Three current projects – disclosure, PFS and materiality
- Supporting application of IFRS Standards
- Insurance contracts
- Conceptual framework
- Other issues

Trustees' Structure and Effectiveness Review

Relevance of IFRS Standards:

- Scope of IFRS Standards:
  – No expansion to public sector entities or not-for-profit entities
- Remit of the Board:
  – Active, but not leading, role in development of wider corporate reporting
- IFRS Taxonomy:
  – Widen consultation with investors and enhance cooperation with securities regulators
- Impact of changing technology on financial reporting:
  – Establish network of experts to advise Board

Agenda Consultation
Four themes in the feedback received

1	Complete remaining large standard-setting projects
2	Promote better communication in financial reporting
3	Continued development of implementation support
4	Focus on fewer research projects

IASB Work plan overview

IASB work plan

Active research

Disclosure Initiative POD
Primary Financial Statements
Business Combinations under CC
Dynamic Risk Management
Financial Instruments with Characteristics of Equity
Goodwill and Impairment
Discount Rates*
Share-based Payments*

Active standards

Conceptual Framework
Insurance
Materiality Practice Statement
Rate-regulated Activities

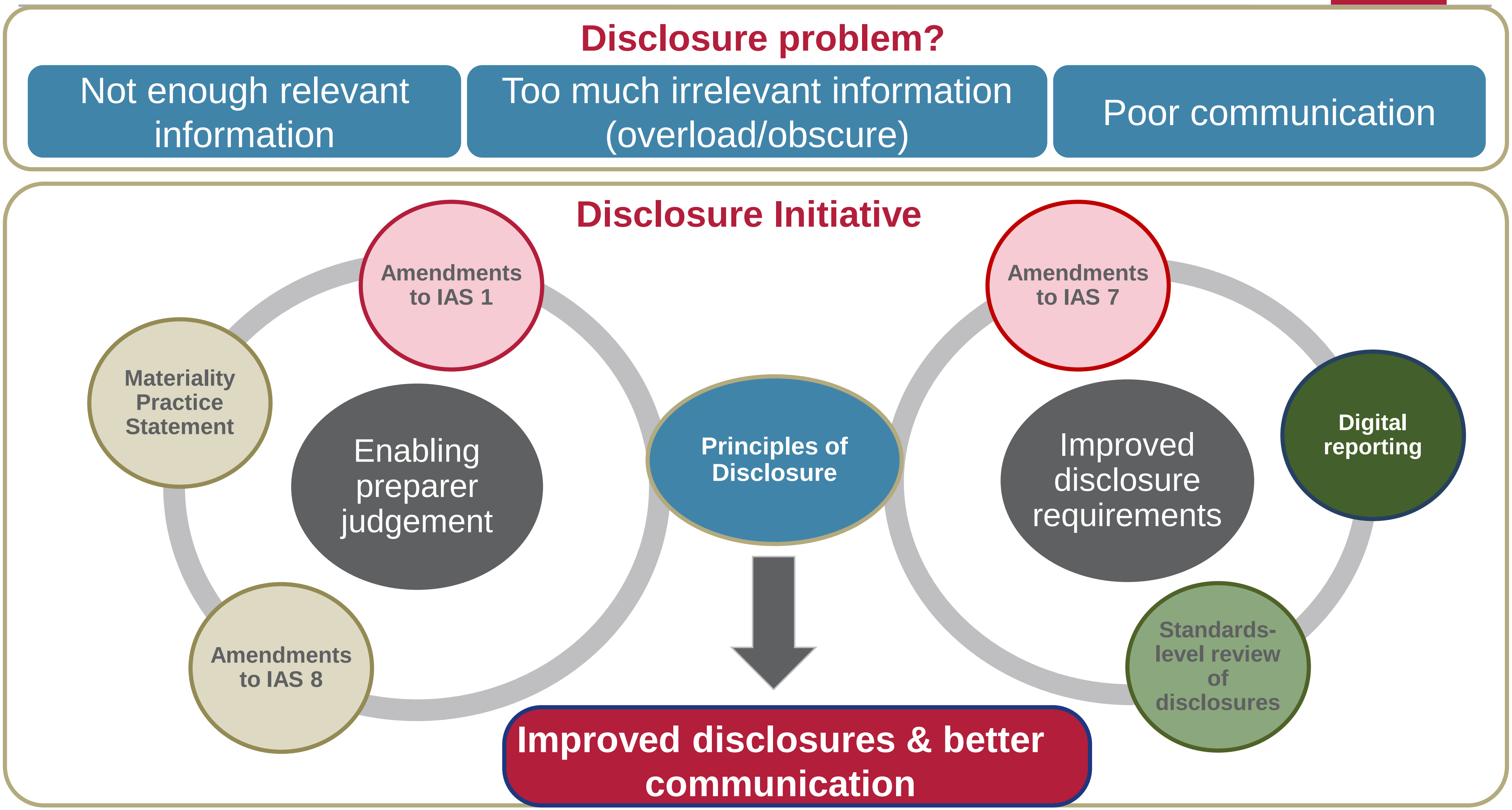
Maintenance

Annual Improvements
Narrow-scope Amendments
IFRIC interpretations
Post-implementation Reviews (IFRS 13; 10, 11, 12; 5)
Taxonomy including common practice

Research Pipeline

Feasibility studies (IAS 19, IAS 29; SMEs that are subsidiaries)
Equity Method
Pollutant Pricing
Provisions
Extractive Industries
Variable and Contingent Consideration

Disclosure Initiative—Fitting the projects together



Primary financial statements

Estimated timeline

December 2016

Board decides on the scope of the research project

H2 2017

Publication of a Discussion paper

Primary financial statements – potential scope

Primary Financial Statements

Statement(s) of financial performance

- Additional subtotals
- Removing some options for presentation
- Alternative performance measures
- Communicate OCI in a better way

Statement of cash flows

- Align operating cash flows with operating income
- Consistent starting point for the indirect reconciliation of cash flows
- Remove options (interest/dividends)

Statement of financial position

- More disaggregation of line items

Statement of changes in equity

- Consider as part of Financial Instruments with Characteristics of Equity project

Development of templates for some industries

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Materiality: Non-mandatory IFRS Practice Statement

- Single assessment of materiality applied to financial statements as a whole
- Focus on materiality process, and the factors to consider in making materiality judgements
- Discuss application of materiality to (a) Errors, (b) Covenants and (c) Interim financial reports
- No **new** interpretations

- Next steps: Final Board discussions December, publication mid 2017

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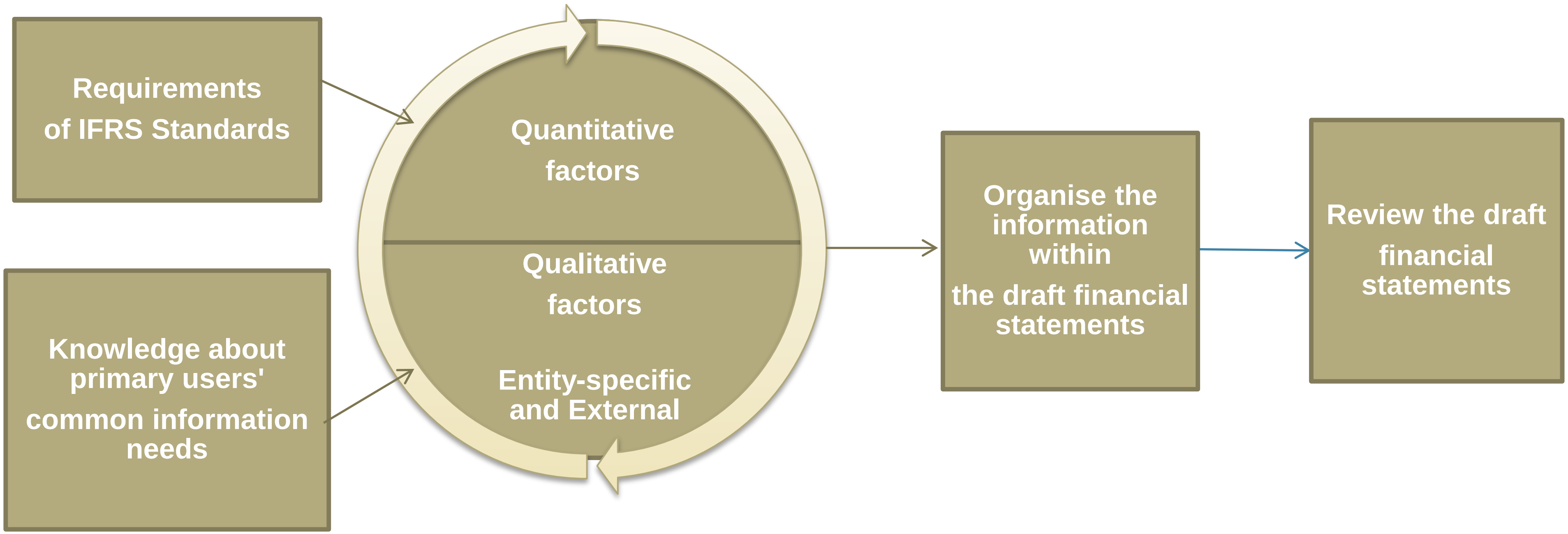
Materiality Practice Statement—Board's tentative decisions



Step 1

Identify potentially material information

Step 2

Assess whether information identified is material

Step 3

Organise

Step 4

Review

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Alternative Performance Measures (APM)

APMs

IAS 1
(Dec 2014)

✓ **Done**

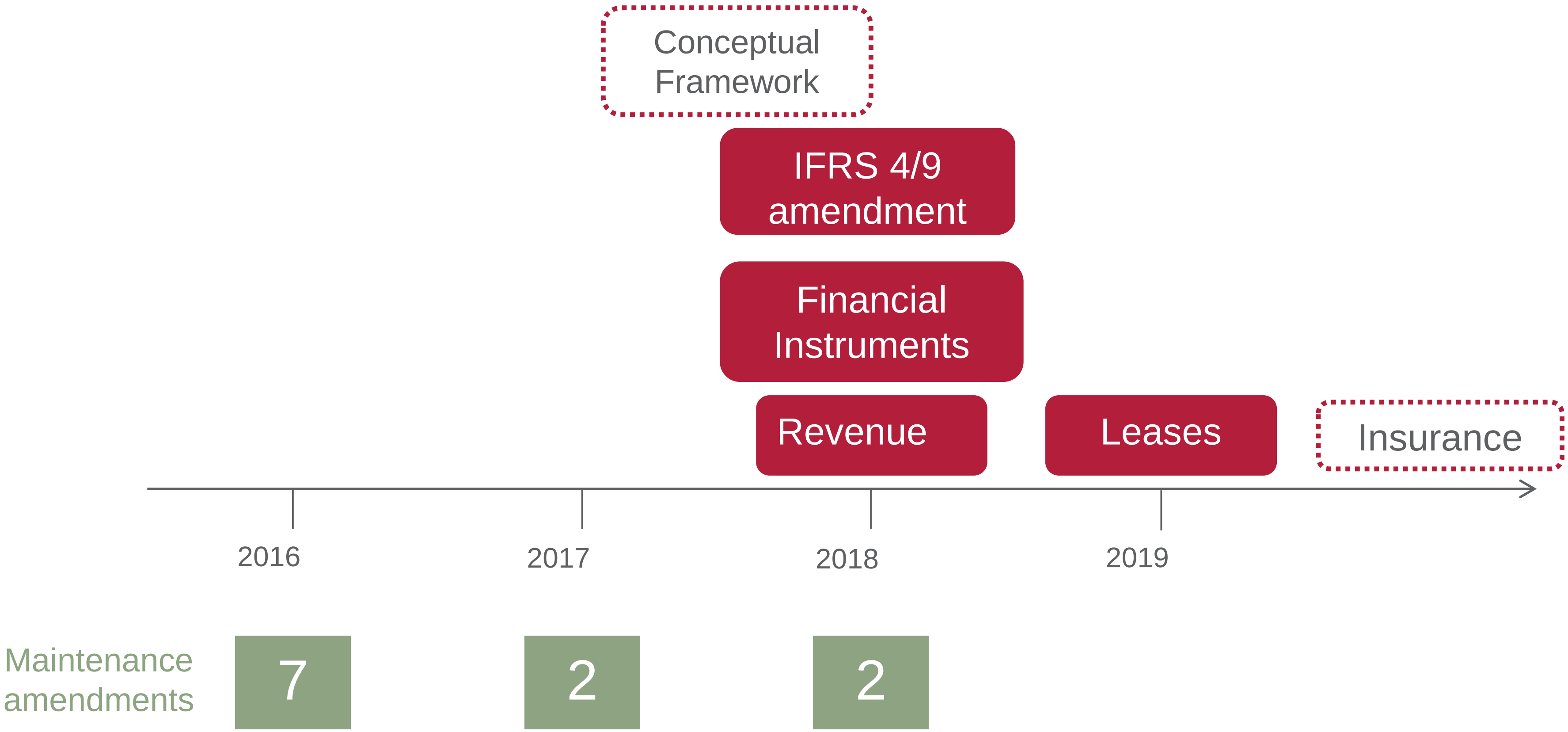
POD
(Principles of Disclosure)

Discussion Paper H1 2017

PFS
(Primary Financial Statements)

Scope decision December 2016

IASB changes ahead – what's required when?



Supporting application of IFRS Standards

Standard issued → Effective date → Post-implementation Review

Support implementation of new IFRS Standards	Maintain existing IFRS Standards
Education, online tools	
Ongoing dialogue and collaboration	
High quality, principles-based standards AND application	

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Insurance – overview of measurement model

Measurement of an insurance contract reflects two components

Contractual service margin

'Fulfilment cash flows'

Future cash flows
Probability weight estimate of expected cash flows from premiums, claims and benefits

Discounting
adjustment that converts future cash flows into current amounts

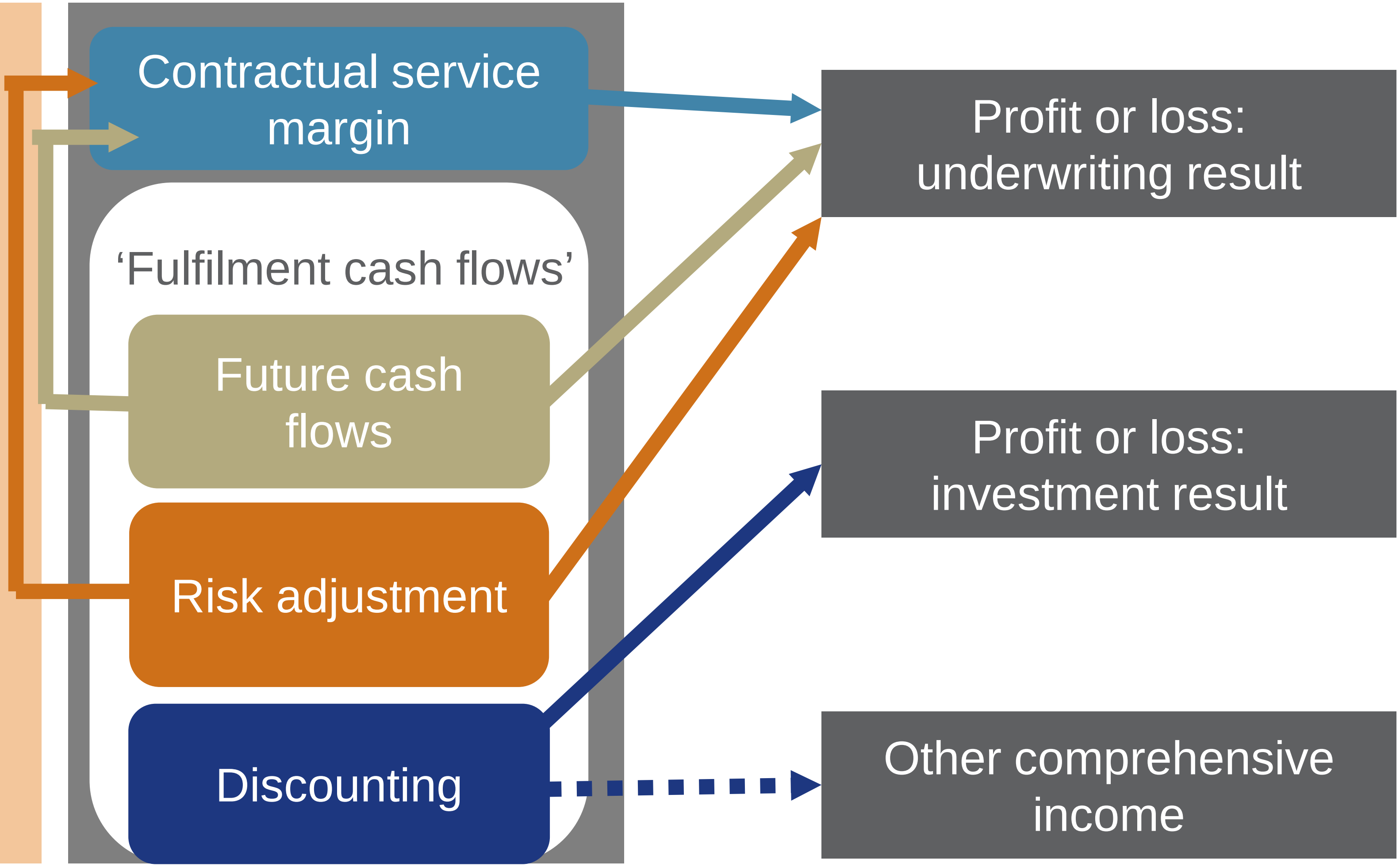
Risk adjustment
assessment of uncertainty about amount of future cash flows and its cost to entity

Contractual service margin is a **measure of the unearned profit** in the contract.
It is adjusted by changes in estimates and is allocated to profit or loss as insurance coverage is provided.

Fulfilment cash flows is a current value that incorporates all available information, in a way consistent with observable market information.
It is remeasured each period using updated assumptions about cash flows, discount rate and risk.

Insurance – recognition of changes in estimates

The different types of changes in estimates are recognised in different parts of the financial statements. Changes related to past and current period recognised in profit or loss



Insurance: Disclosures

Amounts	Judgements	Risk
• Expected PV of future payments-receipts • Risk and the contractual service margins • New contracts written in the period • Time value of money (insurance finance expense)	• Estimating inputs and methods • Effects of changes in the methods and inputs used • Reason for change, identifying the type of contracts affected	• Nature and extent of risks arising • Extent of mitigation of risks arises from reinsurance and participation • Quantitative data about exposure to credit, market and liquidity risk

Compared to IFRS 4, additional disclosures relating to the risks and amounts reported in the financial statements

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Insurance contracts – feedback from field work

- Aggregation of contracts
- Transition – how close can you get to retrospective application?
- Other issues (eg experience adjustments, scope of variable fee)

Conceptual Framework: Overview

Update	Fill in gaps	Clarify
• Element definitions • Recognition	• Measurement • P&L and OCI • Derecognition • Disclosure • Reporting entity	• Stewardship • Prudence • Measurement uncertainty

Liability/equity classification in separate project

What will be the big wins?

Recognition & Derecognition

Uncertain liabilities

Resolve role of prudence and stewardship

Guidance on use of OCI

Measurement

Conceptual framework timeline

July 2013

Discussion Paper

May 2015

Exposure Draft

Early 2017

Revised

Conceptual Framework

For more information:
http://go.ifrs.org/Conceptual-Framework

Other matters

- Conceptual framework
  - Field test of revised elements definition
  - Use of CF by preparers
- IFRS 4/9 amendment
- PIRs of:
  - IFRS 13 *Fair value measurement*
  - IFRS 10/11/12 “consolidation suite”
  - IFRS 5
- Business combinations
  - Definition of a business

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